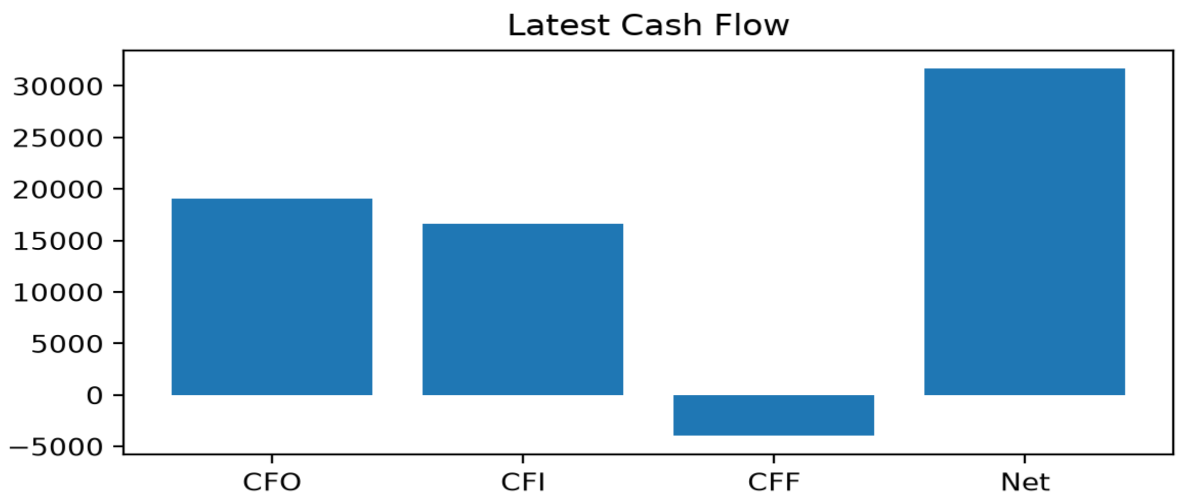
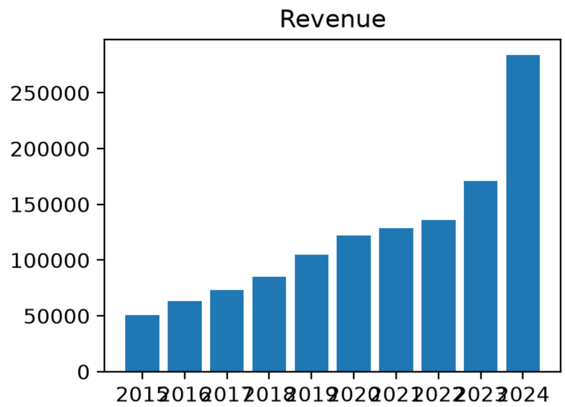
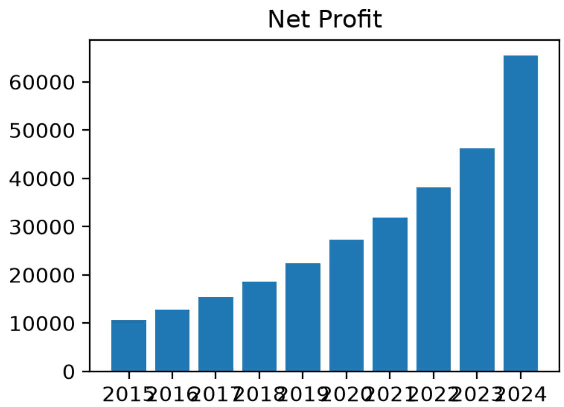
HDFC Bank Ltd (HDFCBANK)

ROE **17.10%**	**ROCE** **7.67%**	**NPM** **21.93%**
OPM **62.61%**	**CFO Score** **nan**	**Revenue CAGR** **21.95%**







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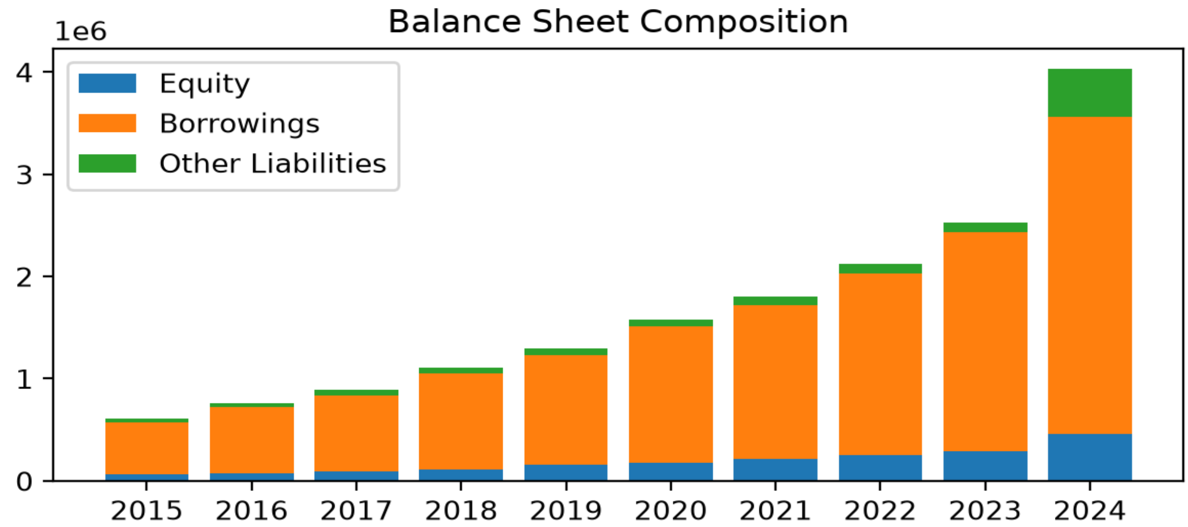

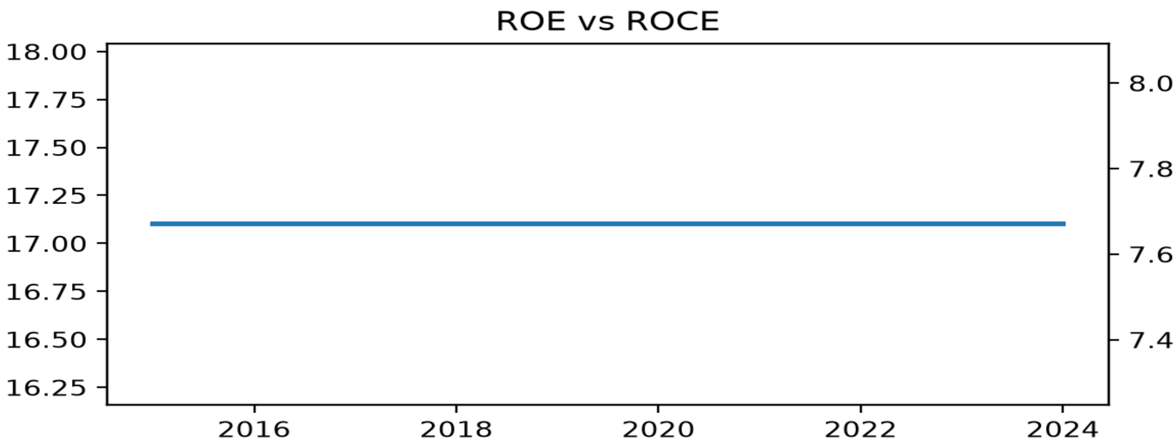

Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.

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Capital Allocation
Liquidating Assets